ECONOMIC MODEL

Kenyan Insurance Brokerages

Economic State Machine

One simple questio	How does broker work turn into cover, commission, cash and a retained client?

Primary unit: **one client-policy-year** - one policy placed or renewed for one client for one period of cover.

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Reading the evidence

- **Observed fact** means a law, regulator, industry report, court record, or other reliable source directly supports the point.
- **Strong inference** means the conclusion follows from good evidence, but it will not be identical at every brokerage.
- **Hypothesis** means the point is likely important but must be checked with real Kenyan brokers.
- Commission rates, payment handling, taxes, insurer agreements, and policy conditions can change. A brokerage should confirm the current rule before using a number commercially.

SECTION 1

1. Executive Economic Summary

An insurance broker does not carry the insurance risk. The insurer does that.

The broker earns money by helping a client understand a risk, finding suitable insurance, comparing terms, arranging cover, supporting the client during the policy period, and helping at renewal or during a claim.

The simplest economic journey is:

Client has a risk → **Broker understands it** → **Insurers quote** → **Client chooses**

Premium reaches insurer → **Cover starts** → **Commission becomes due** → **Broker services policy**

Policy renews or ends

The broker usually earns a percentage of the premium as commission. The rate depends on the class of insurance and is limited by regulation. Kenyan law says an insurer should pay the intermediary's commission within 30 days after receiving the premium. Resident insurance brokers normally suffer 5% withholding tax on commission. [S3] [S4] [S8]

The broker starts spending money long before commission arrives. Staff spend time finding clients, collecting documents, preparing submissions, asking insurers for terms, comparing quotes, correcting mistakes, following up, issuing documents, supporting claims, reconciling commissions, and preparing renewals.

This creates the central business problem:

The broker can do a lot of work before knowing whether the client will buy, whether the premium will be paid, whether the insurer will issue correct documents, and whether the commission will arrive correctly.

The broker's basic profit equation is:

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Commission and agreed fees
- 5% withholding tax deducted from commission cash received
- sales and placement labour
- policy administration labour
- claims and servicing labour
- travel, communication, and document costs
- compliance, licensing, guarantee, and professional indemnity costs
- technology, office, and management overhead
- errors, rework, lost renewals, and unpaid commission
= profit before income tax
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Withholding tax is normally a tax credit rather than a final business cost for a resident broker, but it still reduces the cash received immediately. [S8]

The broker makes good money when it:

- wins clients whose annual commission is larger than the cost of serving them;
- retains the client for several renewals;
- places the right cover without costly mistakes;
- collects missing information early;
- receives correct commission quickly;
- controls service and claims workload;
- notices renewal risk before the client leaves.

The broker loses money when:

- staff work on quotations that never convert;
- a policy is placed but premium is not paid;

- commission is missing, underpaid, delayed, or never reconciled;
- documents are wrong and work must be repeated;
- claims and servicing consume far more time than expected;
- a client leaves at renewal;
- a missed deadline causes uninsured exposure, complaint, or professional liability;
- many small policies create more service cost than commission.

The correct economic picture is therefore not one status. It is a group of linked states:

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Brokerage economic state =
[client commitment, risk information, market response, client decision,
premium, cover, policy evidence, service load, commission, renewal, risk]
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One policy can be active while its documents are incomplete, its commission is unpaid, a claim is waiting, and its renewal is already becoming urgent.

SECTION 2

2. Best Segmentation of the Industry

2.1 Segment by how the brokerage makes money

Segment	What it sells	Main income	Main cost and risk	Economic pattern
Corporate and commercial broker	Advice, insurer access, placement, service, claims support	Commission; sometimes agreed fees	High staff effort, tender work, complex documents, long sales cycles	Fewer clients, larger premiums, many policies per client
SME general insurance broker	Motor, property, WIBA, liability, medical and business packages	Mostly commission	High follow-up and admin cost for moderate premium	Many renewals; profitability depends on repeat business
Retail or personal-lines broker	Individual motor, travel, home, personal accident	Commission	Small commission per policy; price competition; high transaction volume	Must be fast and low-cost
Medical-focused intermediary	Group medical placement and member support	Commission or agreed remuneration	Very heavy service, pre-authorisation and claims workload	Revenue can look attractive while service cost destroys margin

Segment	What it sells	Main income	Main cost and risk	Economic pattern
Life, pension and employee-benefits broker	Group life, pensions, credit life and long-term products	Commission and sometimes advisory fees	Long selling cycle, compliance, member communication	Longer relationships; income pattern differs from annual general insurance
Specialist broker	Marine, aviation, energy, construction, professional liability and large risks	Higher-value commission and fees	Scarce expertise, complex placement, co-insurance or reinsurance	Fewer but more valuable and more technical units
Tied or corporate insurance agency	Sells for one insurer or a limited group	Agency commission	Less insurer comparison; depends heavily on insurer relationship	Simpler placement but less independent market choice

2.2 Important difference: broker versus agent

A broker normally acts as an intermediary who finds and places cover for the client across insurers. An agent normally brings business to an insurer under an agency relationship. The legal permissions, market access, economics, and client promise are different. [S3] [S16]

ASAP's strongest economic target is the independent brokerage that manages many clients, insurers, policy types, documents, renewals, claims, premium records, and commission statements.

2.3 Scope used for the rest of this report

The remaining model uses a Kenyan commercial brokerage that places general insurance and supports the policy through its full year.

Medical, life, microinsurance, and pure retail sales need adjusted versions because their service load, commission pattern, and policy periods differ.

SECTION 3

3. Primary Economic Unit

Primary unit: the client-policy-year

This means one policy or renewal placed for one client for one period of insurance.

Examples:

- Acme Ltd's motor fleet policy for 1 November 2026 to 31 October 2027;
- Jane Wanjiku's private motor policy for twelve months;
- a company's group medical policy for one benefit year;
- a contractor's WIBA policy for one annual period.

This is the best unit because it contains:

- a client need;
- a defined insurance risk;
- insurer quotations;
- a premium;
- a client decision;
- evidence that cover exists;
- brokerage commission;
- service and claims effort;
- an expiry date;
- a renewal or exit decision;
- measurable profit or loss for the brokerage.

When the unit becomes economically real

The unit begins as a possible sale. It becomes economically serious when the broker accepts the client request or renewal and commits staff time. It becomes revenue-producing only when the client selects terms, the required premium reaches the insurer, and cover is placed. Commission then becomes due under the insurer agreement and Kenyan law. [S3]

When it becomes economically complete

It is complete when:

- the policy period has ended or renewed;
- all servicing and claims-support obligations for that period are understood;
- commission and adjustments are reconciled;
- cancellations or refunds are settled;
- documents and client instructions are stored;
- no unresolved complaint, error, or professional-liability exposure remains.

Important secondary units

Secondary unit	Relationship to client-policy-year	Economic role
Client relationship	Contains many policy-years	Spreads acquisition cost across several policies and renewals
Opportunity or tender	May create several policies	Consumes sales effort before revenue exists
Quote request	One insurer response path	Produces a usable option or wastes placement time
Endorsement or service request	Changes an active policy	Can add premium and commission, or create unpaid service work
Claim support case	Happens under a policy	Usually protects retention rather than creating direct commission
Premium item	Amount owed to insurer	Controls whether cover can start or continue
Commission receivable	Amount owed to broker	Converts placed business into brokerage cash
Renewal cycle	Creates the next policy-year	Main retention and repeat-revenue mechanism
Complaint or error	Exception to normal service	Can destroy trust, commission, renewal and professional liability capacity

SECTION 4

4. Core Economics

4.1 What the client buys

The client buys more than a policy document. The client is buying:

- help understanding what can go wrong;
- access to insurers and usable quotations;
- an explanation of price, cover, limits, excesses, and exclusions;
- correct placement of cover;
- help keeping records and certificates correct;
- support when something changes;
- support when a claim occurs;
- help making the next renewal decision.

The insurer receives the premium and carries the insured risk. The broker receives commission or an agreed fee for bringing, placing, and supporting the business.

4.2 Revenue equation

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Gross brokerage revenue
= commission on new policies
+ commission on renewals
+ commission on additional premium from endorsements
+ agreed advisory or administration fees, where permitted and disclosed
- commission returned after cancellation, refund, or correction
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Contribution from one policy-year
= gross brokerage revenue
- direct acquisition and placement labour
- direct administration and service labour
- direct claims-support labour
- direct communication, travel, and document cost
- unrecovered error and rework cost
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Brokerage profit
= contribution from all policy-years
- salaries not assigned directly
- office and technology
- compliance and audit
- licence, guarantee, and professional indemnity costs
- marketing and management overhead
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4.3 Commission mechanics

Kenya limits commission by class of insurance. Common published maximums include 10% for motor, 17.5% for marine, 20% for personal accident, 8% for group life, and 10% for medical. Fire has historically carried a higher maximum. Actual income depends on the class, insurer agreement, policy structure, premium paid, taxes, and later adjustments. [S4] [S12]

Simple example - not an industry average

A client pays KSh 1,000,000 for an annual motor policy.

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Premium paid to insurer KSh 1,000,000
Maximum motor commission at 10% KSh 100,000
5% withholding tax deducted from commission KSh 5,000
Immediate commission cash to broker KSh 95,000
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The broker still needs to pay salaries, rent, technology, compliance, sales, placement, service, and claim-support costs. If that policy uses KSh 70,000 of direct and shared cost, the remaining contribution is only KSh 30,000 before company tax. This KSh 70,000 cost is an illustration and must be tested with operators.

4.4 Working capital

The client normally pays premium to the insurer before the insurer assumes risk, subject to prescribed exceptions. The insurer should pay the broker's commission within 30 days after receiving premium. [S3] [S10]

The broker therefore finances:

- prospecting and quotation work before a sale;
- placement work before premium is paid;
- policy administration before commission arrives;
- claims and service work throughout the year;
- salaries and overhead even when commission reconciliation is late.

Unlike a contractor, the broker usually does not finance materials or a physical project. Its main working-capital burden is people time paid before commission cash arrives.

4.5 Fixed capacity cost

Broker licensing requirements include at least KSh 1 million paid-up capital, a KSh 3 million bank guarantee or qualifying government bond, and professional indemnity cover with a minimum limit of KSh 10 million. These requirements tie up money or create annual cost before the brokerage writes any policy. [S7]

The biggest regular cost is normally skilled staff capacity. A staff hour used on a weak lead, repeated correction, missing document, or avoidable follow-up cannot be reused.

SECTION 5

5. Actor & Incentive Map

Actor	What they want	What they control	Delay or economic risk they can create
Client or policyholder	Suitable cover, fair price, clear service, claim support	Risk information, documents, premium payment, final choice	Missing facts, late payment, unclear instructions, last-minute renewal
Client finance team	Correct invoice and payment evidence	Payment approval and timing	Premium delay can stop cover from starting
Client decision maker	Best balance of price, cover and insurer confidence	Insurer selection and renewal decision	Slow choice shortens placement time and can cause a lapse
Broker sales/account executive	Win and retain client	Relationship, fact-find, expectation-setting	Can promise too much or accept unprofitable work
Broker placement officer	Obtain accurate, competitive terms	Insurer submission and comparison	Weak submission creates delays, poor terms, or exclusions
Broker policy administrator	Correct policy documents and records	Schedules, certificates, endorsements, delivery evidence	Errors create rework and uninsured exposure
Broker claims officer	Help client submit and follow up claim	Claim checklist, correspondence, escalation	Missing evidence and weak follow-up damage retention
Broker finance officer	Receive correct commission and reconcile accounts	Commission statements, WHT certificates, receivables	Unreconciled differences hide lost income
Broker manager	Profitable growth, compliance and controlled workload	Pricing choices, client acceptance, staff assignment, escalation	Growth pressure can create bad-fit clients and overloaded teams
Insurer underwriter	Accept risks that fit appetite at a viable price	Terms, conditions, exclusions, capacity and quote validity	Slow or incomplete response blocks client decision
Insurer credit/finance team	Correct premium and commission accounting	Receipts, statements, commission payment and adjustments	Missing or delayed commission traps broker cash
Insurer policy team	Correct policy issuance	Schedule, wording, certificate and endorsement	Wrong or late documents create risk and service cost
Insurer claims team	Valid, complete, controlled claim settlement	Requirements, liability position, assessor and payment	Delays affect client trust even when broker is not the risk carrier
Assessor, investigator, adjuster or provider	Clear instruction and payment	Technical evidence and reports	External queue delays can stall claims

Actor	What they want	What they control	Delay or economic risk they can create
Regulator	Fair treatment, stable market and compliance	Licensing, conduct rules, enforcement	Missing compliance can stop business or increase cost
KRA	Correct tax collection	WHT and other tax rules	Missing certificates or wrong treatment creates cash and audit problems

Main incentive conflict

The client wants quick cover and the lowest price. The insurer wants complete information and a price that matches the risk. The broker wants to win the client, protect the relationship, stay compliant, and earn enough commission to cover service cost.

This conflict is strongest near expiry. Everyone is under time pressure, but a rushed decision can leave incorrect values, exclusions, missing documents, unpaid premium, or unclear client instructions.

SECTION 6

6. Primary Economic State Machine

6.1 Complete path

Risk need visible → Opportunity qualified → Client mandate → Risk facts ready → Market approached → Usable terms → Client instruction → Premium paid → Cover confirmed → Policy evidence complete → Active service → Commission collected → Renewal or exit → Economically closed

6.2 State table A - economic position

ID	State	Plain meaning	Economic meaning	Cost, value and cash position	Valid next states
S0	Risk need visible	A person or business may need insurance	Possible future revenue only	Small prospecting cost; no right to commission	S1 or lost
S1	Opportunity qualified	Broker decides the case is worth pursuing	Sales capacity is committed	Staff cost starts; probability of revenue is still uncertain	S2 or no-bid
S2	Client mandate or renewal request	Client asks broker to act	Relationship and service promise become real	More staff cost; still no commission	S3 or cancelled
S3	Risk facts ready	Enough correct information exists to approach insurers	Insurers can price the real risk	Fact-find and document cost accumulated	S4 or information hold
S4	Market approached	Suitable insurers have received the submission	Market response becomes possible	Placement labour grows; no cash yet	S5, insurer decline, revise
S5	Usable terms received	At least one complete quote can be explained	A sale can now happen	Potential premium and commission become measurable	S6, re-market, lost
S6	Client instruction recorded	Client chooses an insurer and terms	Commercial choice is proven	Revenue probability becomes high, but cover may not exist yet	S7 or changed decision
S7	Premium paid or valid payment condition met	Insurer receives required premium	Insurer can assume risk; commission becomes due	Client money goes to insurer; broker commission receivable begins	S8 or payment failure
S8	Cover confirmed	Written confirmation shows cover is active	Broker has delivered the main placement result	Commission due; professional duty continues	S9, correction, cancellation
S9	Policy evidence complete	Correct schedule, wording and certificates reach client	Placement is provable and safer	Rework risk falls; commission may still be unpaid	S10, correction, servicing
S10	Active service period	Broker supports changes, claims and questions	Retention value is created, but cost keeps growing	Commission may already be cash; service can still destroy margin	S11, claim, endorsement, cancellation
S11	Commission reconciled and collected	Insurer statement matches expected commission and cash arrives	Placed business becomes broker cash	WHT reduces immediate cash; unmatched items remain exposed	S12 or dispute
S12	Renewal or exit decision	Client chooses to renew, change broker, or end cover	Future recurring revenue is won or lost	New acquisition cost is avoided if retained	New S2, lapse, cancellation

ID	State	Plain meaning	Economic meaning	Cost, value and cash position	Valid next states
S13	Economically closed	The policy-year, money, documents and open issues reconcile	Final contribution is known	No unresolved commission, refund, complaint or service obligation	Archive or next policy-year

6.3 State table B - entry, evidence, actor and approval

State	Entry trigger	Required information and evidence	Main owner	Important decision or approval
S0	Referral, lead, tender, expiry list or enquiry	Contact, possible risk, source	Sales/account executive	Is it real enough to contact?
S1	Broker accepts pursuit	Client fit, likely premium, line of business, capacity	Sales lead or manager	Is expected commission worth the work and risk?
S2	Client appointment, email instruction or renewal ownership	Mandate, current policies, expiry, contacts	Account executive	What has the broker agreed to do?
S3	Fact-find passes completeness check	Proposal forms, schedules, claims history, asset/member lists, values	Account executive and placement	Is the information accurate enough to market?
S4	Submission sent to selected insurers	Submission copy, insurer list, date, requested terms	Placement officer	Which insurers fit the risk and avoid conflicts?
S5	Terms pass comparison check	Quote, exclusions, deductibles, premium, validity, subjectivities	Placement and account executive	Are terms complete and fairly explained?
S6	Client gives clear choice	Written instruction and selected option	Client decision maker	Which insurer and terms are accepted?
S7	Insurer confirms receipt of required premium	Receipt, bank evidence, payment reference, permitted guarantee or deposit	Client finance and insurer finance	Has the legal payment condition been met?
S8	Insurer confirms inception	Cover note, risk note, policy confirmation	Insurer policy team and broker	Does confirmation match client instruction?
S9	Correct documents delivered and acknowledged	Schedule, wording, certificate, endorsements, delivery record	Policy administrator	Are all names, dates, values, limits and items correct?
S10	Policy remains active	Service logs, claim records, endorsement instructions	Account executive and service teams	Which changes are safe and who must approve?

State	Entry trigger	Required information and evidence	Main owner	Important decision or approval
S11	Statement and cash match expectation	Insurer statement, commission calculation, WHT certificate, bank receipt	Broker finance	Is the amount complete and correct?
S12	Renewal clock or client exit starts	Updated exposure, claims, service history, insurer performance	Account executive	Retain, re-market, change terms, or let policy end?
S13	All open items are cleared	Final reconciliation and complete audit file	Manager and finance	Can the unit close without hidden exposure?

6.4 State table C - where each state gets stuck

State	Common reason it is stuck	Unhealthy signal	Financial effect if nothing happens
S0-S1	Weak lead or poor fit	Repeated calls with no decision maker or clear risk	Wasted sales time
S2	No clear mandate or current policy	Broker is doing work from verbal promises only	Free work and dispute risk
S3	Missing schedules, claims data, values or signed forms	Expiry is near but information is incomplete	Poor terms, wrong cover, or lost renewal
S4	Insurer does not respond or asks repeated questions	No usable terms before client decision date	Lost sale or emergency placement
S5	Quote is incomplete or cannot be compared	Premium shown without exclusions, excesses or subjectivities	Bad recommendation and liability risk
S6	Client delays choice	Quote validity is close to expiring	Re-quotation, price change, or cover gap
S7	Premium is not paid or reference is unclear	Inception date arrives without insurer receipt	No cover, complaint, lost commission
S8-S9	Schedule or certificate is late or wrong	Cover confirmation and final document disagree	Rework and professional-liability exposure
S10	Many claims, endorsements or support requests	Service hours rise while revenue stays fixed	Policy becomes unprofitable
S11	Commission statement missing or amount differs	Commission older than 30 days	Broker finances operations and may lose income
S12	Renewal started too late	No updated risk information or terms near expiry	Churn, poor terms, uninsured gap

State	Common reason it is stuck	Unhealthy signal	Financial effect if nothing happens
S13	Refund, claim, complaint or commission dispute remains	Closed in one system but open in email or finance	Hidden liability and wrong profit

SECTION 7

7. Exception State Machine

Exception	Starts from	Trigger	Economic consequence	Recovery path	Can value be permanently lost?
No-bid or bad-fit client	S1	Low premium, high service need, unacceptable risk	Pursuit cost only	Decline clearly and close	Yes, pursuit time is sunk
Client chooses another broker	S4-S6	Price, relationship, delay or trust	All quotation work earns no commission	Learn reason; seek future opportunity	Yes
Insurers decline risk	S4	Risk outside appetite or information poor	Placement work increases; sale may fail	Improve information, change market, change risk	Yes
Quote expires	S5-S6	Client decision or payment is late	Premium or conditions may change	Re-quote and obtain fresh instruction	Yes, if client leaves
Premium payment failure	S7	No payment, wrong reference, bank delay	Cover may not start; commission not due	Confirm payment route and new inception	Yes
Wrong cover confirmation	S8	Dates, item, value or terms differ	Client may believe they are covered incorrectly	Correct immediately and preserve evidence	Yes, through complaint or uninsured loss
Policy issuance delay	S8-S9	Insurer administration delay	More broker follow-up; weaker client trust	Escalate and obtain correct document	Usually recoverable, but service cost is sunk
Endorsement or TOR	S10	Client changes asset, person, value, dates or ownership	Additional work; may create extra premium and commission	Gather instruction, obtain insurer approval, confirm change	Yes if change is late or wrong
Claim occurs	S10	Insured event	Heavy service cost; renewal and relationship at risk	Complete documents, submit, follow up, explain	Usually no direct new revenue
Cancellation or refund	S8-S10	Client or insurer ends cover	Commission may be reduced or returned	Reconcile earned period, refund and commission	Yes
Commission dispute	S11	Statement missing, class/rate wrong, payment not linked	Broker cash and reported income are wrong	Match premium, policy, rate, WHT and payment	Yes if not pursued

Exception	Starts from	Trigger	Economic consequence	Recovery path	Can value be permanently lost?
Renewal lost or lapsed	S12	Late work, price, service failure or competitor	Future commission disappears	Win-back or replace with new client	Yes
Complaint or professional error	Any active state	Mis-selling, wrong document, missed deadline, privacy breach	Legal, licence, reputation and insurance cost	Investigate, correct, notify, compensate if required	Yes, potentially severe

Key loops

Missing facts → **Request correction** → **Risk facts ready Incomplete quote** → **Return to insurer**

Usable terms Wrong policy document → **Correction request** → **Policy evidence complete Unmatched commission** → **Reconciliation**

Commission collected Claim or endorsement → **Active service** → **Renewal decision**

SECTION 8

8. Money State Machine

Operational progress and money progress are not the same.

Possible premium → **Quoted premium** → **Client-selected premium** → **Premium due**

Premium reaches insurer → **Commission due** → **Commission statement** → **WHT deducted**

Commission cash received → **Adjustments cleared**

Money state	Meaning	Value owner	What unlocks next state	Where money gets trapped
M0 Possible premium	Early estimate of the policy price	Nobody has a payment right	Usable insurer terms	Bad or incomplete risk data
M1 Quoted premium	Insurer offers a price for a limited time	Insurer offer; client not committed	Client selection	Quote expires or is misunderstood
M2 Selected premium	Client chooses the option	Client owes payment if proceeding	Correct payment instruction	Internal client approval
M3 Premium due	Payment is required before risk starts, subject to exceptions	Insurer	Receipt or permitted payment condition	Bank delay, wrong reference, split instalment
M4 Premium received by insurer	Insurer has the premium	Insurer carries risk according to cover	Cover confirmation and commission calculation	Payment not linked to correct policy
M5 Commission due	Broker has a claim under law/agreement	Broker	Insurer statement and payment	Insurer delay or missing booking
M6 Commission stated	Insurer reports amount payable	Broker, subject to reconciliation	Match policy, premium, rate and tax	Wrong class, cancellation, adjustment, co-insurance
M7 Net commission paid	Cash reaches broker after WHT	Broker	Bank match and WHT certificate	Unidentified deposit or missing tax certificate
M8 Final commission settled	Refunds, cancellations and adjustments are cleared	Broker	Policy-year close	Late clawback or unresolved dispute

Where value is trapped

The most important trapped-value gap is:

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Premium received by insurer
-> commission legally due
-> commission correctly stated
-> commission cash received and matched
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A broker can have strong sales but weak cash because insurer statements, WHT records, premium references, and bank receipts do not match.

SECTION 9

9. Cost & Margin State Map

Stage	Cost accumulating	Is it recoverable?	Margin uncertainty
Prospecting and qualification	Marketing, calls, travel, sales salary	Usually no	Very high: most opportunities may not convert
Client mandate and fact-find	Account executive and document work	Usually no separate charge	High: scope and service need may still be unclear
Insurer marketing	Placement staff, insurer follow-ups, specialist advice	Usually only if policy is placed	High
Quote comparison and advice	Analysis, presentation and meetings	Usually only if policy is placed	Medium to high
Placement and payment	Administration and finance follow-up	Covered by expected commission	Medium
Policy checking and delivery	Policy administration and correction	Covered by commission	Medium; errors can make it high
Active policy service	Endorsements, certificates, questions, meetings	Often no new fee	Can rise throughout year
Claim support	Claims staff and external follow-up	Usually no direct commission	Very high for difficult claims
Commission reconciliation	Finance staff and insurer follow-up	No extra revenue	Medium; hidden income loss possible
Renewal	Updated fact-find, remarketing and negotiation	Paid only if retained and placed	High until client renews

Expected margin movement

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At lead: negative - sales cost, no revenue
At usable quote: still negative - more labour used
At client choice: expected profit becomes visible
At premium receipt: commission becomes due
At commission cash: positive cash contribution becomes real
During service/claims: contribution can fall as hours grow
At renewal: retention can make the relationship much more profitable
At loss/cancellation: future value and some commission can disappear
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The highest-margin client is not automatically the one with the highest premium. It is the client whose commission, fees, retention and referrals remain larger than the full cost of winning and serving the account.

SECTION 10

10. Evidence-to-Economic-Transition Map

Evidence	Who creates it	Transition it unlocks	What happens if missing	Can it be recreated later?
Client mandate or appointment	Client and broker	Opportunity -> authorised work	Dispute over broker authority; free work	Sometimes, but later proof is weaker
Current policy schedule	Previous insurer/client	Fact-find -> market-ready risk	Wrong comparison and missing cover changes	Usually
Proposal or risk-information form	Client with broker help	Risk facts -> insurer quote	Insurer may decline, add conditions, or avoid liability	Yes before placement
Asset/member/vehicle list	Client	Complete exposure -> accurate terms	Items may be uninsured or mispriced	Yes, but late correction may cost more
Claims history	Insurer/client	Risk assessment -> fair quote	Premium or terms may be wrong	Usually
Insurer quotation	Insurer	Market response -> client decision	No defensible recommendation	Must be re-issued if expired
Quote comparison and explanation record	Broker	Terms -> informed choice	Mis-selling and complaint risk	Weak if reconstructed later
Written client instruction	Client	Choice -> placement	Wrong insurer or cover dispute	Difficult after loss occurs

Evidence	Who creates it	Transition it unlocks	What happens if missing	Can it be recreated later?
Premium receipt/payment confirmation	Insurer/bank	Payment -> cover and commission	Risk may not start; commission not due	Bank evidence may be found later
Cover note or written confirmation	Insurer/broker	Placement -> active cover	Client cannot safely rely on cover	Yes, but delay is risky
Policy schedule and wording	Insurer	Cover -> complete evidence	Limits and exclusions remain unclear	Yes
Delivery acknowledgement	Client/broker	Document issued -> proven delivery	Conduct and complaint exposure	Hard to recreate honestly
Endorsement instruction and document	Client/insurer	Old cover -> changed cover	Asset or value may remain wrong	Sometimes
Claim notification and supporting documents	Client/broker/providers	Incident -> insurer claim process	Delay or denial risk	Some evidence decays over time
Commission statement	Insurer	Commission due -> reconciled receivable	Missing income remains invisible	Usually
WHT certificate	Insurer/KRA	Net payment -> tax credit evidence	Broker may lose or delay tax credit	Usually, with effort
Renewal instruction	Client	Expiring policy -> next policy-year	Cover may lapse or client may leave	Not after the deadline without a gap

Kenyan market-conduct rules require intermediaries to disclose their role and remuneration basis, quote terms as provided by the insurer, explain policy terms, confirm when insurance has been effected, and help ensure the policy document is issued within 14 days if not supplied at inception. [S5]

SECTION 11

11. Information Fragmentation Map

Economic question	Where the answer often lives	Why reconstruction is difficult
What exactly did the client ask for?	Email, WhatsApp, meeting notes, proposal form	Later messages may change the original request
What risks and items are included?	Spreadsheet, old schedule, PDF, handwritten list	Versions and totals may disagree
Which insurers were approached?	Placement officer's email and personal tracker	Another employee cannot see complete market activity
What did each insurer quote?	PDFs, email bodies, portals and spreadsheets	Terms use different wording and structures
What did the client choose?	Email, signed form, WhatsApp, meeting minutes	Verbal choice may not prove exact terms
Has premium reached the insurer?	Client bank slip, insurer receipt, finance email	Reference may not match policy or client name
Is cover actually active?	Cover note, risk note, portal, insurer email	Confirmation may conflict with requested dates
Is the final schedule correct?	Insurer PDF, broker record, client copy	Corrections may create several versions
What is happening with a claim?	Claims email, insurer portal, phone calls, assessor reports	Current blocker may exist only in one person's memory
What commission is owed?	Premium register, insurer statement, broker ERP, WHT system, bank	Different identifiers and months prevent matching
Which renewals are in danger?	Expiry spreadsheet, email, account executive memory	Missing updates make the list look healthier than reality
Is this client profitable?	Commission accounts, staff time, claims files, service logs	Revenue and service cost are rarely joined at policy level

Strong inference: The hardest management problem is not lack of data. It is that the same policy has different partial truths in email, documents, spreadsheets, insurer systems, finance records, and employee memory.

SECTION 12

12. Decision & Approval Map

Decision	Main decision maker	Information used	Cost of a bad or late decision
Pursue or decline client	Broker manager/sales lead	Expected premium, service need, risk class, fit	Wasted capacity or missed revenue
Which insurers to approach	Placement officer	Risk type, insurer appetite, service history, capacity	Few or weak terms
Is information complete enough?	Account executive/underwriter	Proposal, schedules, claims, values	Wrong pricing or uninsured exposure
Are terms truly comparable?	Placement and account executive	Premium, cover, limits, excesses, exclusions, subjectivities	Bad advice and complaint risk
Which option should be recommended?	Broker professional	Client need, terms, insurer strength/service	Client loss or unsuitable cover
Which option is selected?	Client	Comparison and explanation	Wrong cover or unaffordable premium
Has payment condition been met?	Insurer finance/credit	Receipt and policy reference	Cover may not start
Does policy evidence match instruction?	Policy administrator/account executive	Instruction, quote, receipt, schedule	Professional error
Is an endorsement safe to place?	Client, broker and insurer	Exact requested change and effective date	Uninsured or wrongly insured item
Is a claim file ready?	Claims officer and insurer	Policy, incident and supporting documents	Delay or denial
Is commission correct?	Broker finance	Premium, class, rate, statement, tax and bank	Lost cash and wrong accounts
Start renewal, retain or re-market?	Account executive/manager/client	Claims, price, service, exposure changes	Churn or poor terms

The broker repeats four expensive thinking tasks across almost every unit:

1. Find the latest correct information.
2. Check whether it is complete and consistent.
3. Compare choices and explain the difference.

4. Decide what must happen next and who controls it.

SECTION 13

13. Waiting & Dependency Map

Waiting on	Typical state	Acceptable time	Economic effect	Is the delay usually visible?
Client documents	S2-S3	Depends on expiry; shorter near renewal	Staff follow-up, weaker submission, lost cover	Often visible only to account owner
Insurer quotation	S4	Must fit quote and expiry clock	Lost sale or poor market comparison	Partly visible in email
Underwriting question	S4-S5	Before quote validity/renewal deadline	Rework and placement delay	Usually fragmented
Client choice	S5-S6	Before quote expiry and inception	Terms expire or cover lapses	Often tracked manually
Premium payment	S6-S7	Before risk begins, except allowed cases	No cover and no commission	Finance and account teams may see different status
Cover confirmation	S7-S8	Immediate or prompt after valid payment	Client uncertainty and professional risk	Usually in email
Final policy document	S8-S9	Within 14 days when not given at inception	More follow-up and conduct risk	Often poorly measured
Endorsement response	S10	Before requested effective date	Wrong active cover	Often visible only in service mailbox
Claim document	Claim loop	Before insurer can decide	Claim delay and unhappy client	Checklist may be manual
Assessor or insurer action	Claim loop	Depends on claim and legal clocks	Retention and reputation damage	External dependency is often unclear
Commission statement/payment	S11	Commission due within 30 days of insurer premium receipt	Working-capital pressure and lost income	Usually visible only after reconciliation
Manager/client approval	Any key decision	Before the next external commitment	Queue grows and deadlines shorten	Sometimes hidden in chat or email

The cost of waiting is mainly staff time, lost probability of conversion, lost renewal probability, delayed commission cash, and increased professional risk.

SECTION 14

14. Economic Leakage Map

Scores are directional. They must be checked with real brokerage data.

Leakage	Type	Root cause	Impact /10	Frequency /10	Recoverability /10	Visibility today /10	Time sensitivity /10
Missed or late renewal	Revenue	Renewal starts late or owner forgets	10	7	3	5	10
Commission not reconciled	Cash/revenue	Premium, policy, statement and bank do not match	9	7	7	3	7
Unprofitable small account	Margin/capacity	Service hours exceed commission	7	8	4	2	5
Quote work that never converts	Capacity	Poor qualification or weak follow-up	7	8	1	4	6
Wrong policy schedule	Risk/margin	Manual re-keying, version confusion	9	5	6	5	10
Missing client instruction	Risk	Verbal or scattered approval	9	5	3	3	10
Premium paid but not linked	Cash/risk	Wrong reference or separate records	9	5	8	4	10
Delayed policy document	Risk/capacity	Insurer backlog and weak follow-up	7	7	8	5	8

Leakage	Type	Root cause	Impact /10	Frequency /10	Recoverability /10	Visibility today /10	Time sensitivity /10
Excessive claim support effort	Margin	Difficult insurer, missing evidence, client expectations	7	6	2	2	7
Endorsement not completed on time	Risk/revenue	Missing details or insurer delay	9	5	5	4	10
Cancellation clawback missed	Revenue/cash	Refund and commission ledgers separate	7	4	5	3	6
Poor insurer selection	Revenue/risk	Focus on price without service/claims evidence	8	4	3	3	7
Staff overload around month-end/renewal	Capacity	Work arrives in batches and is not prioritised	8	7	5	4	8
Compliance evidence missing	Risk	Delivery, disclosure or approval not recorded	9	5	4	2	9
Client leaves after poor service	Revenue	Slow claim, document or communication handling	9	5	2	4	8

Five biggest economic leaks

1. **Lost renewals:** future recurring commission disappears.
2. **Unreconciled commission:** earned income stays invisible or uncollected.
3. **High service cost:** staff time grows but commission is fixed.

4. **Failed quote work:** the broker pays for work that produces no policy.
5. **Wrong or late evidence:** errors threaten cover, trust, licences and professional indemnity.

SECTION 15

15. Economic Clock Map

Clock	When it starts	What stops it	Economic consequence if missed	Current owner
Policy expiry	Existing policy inception	Renewal or replacement cover	Cover gap and lost renewal revenue	Account executive
Quote validity	Insurer issues quote	Client accepts and pays under valid terms	Re-quotation and changed premium	Placement officer/client
Premium-before-risk clock	Intended inception	Insurer receives premium or valid exception applies	Insurer may not assume risk	Client finance/insurer
Commission payment clock	Insurer receives premium	Broker receives commission	Broker cash delayed beyond 30 days	Insurer and broker finance
Policy document clock	Cover begins without full policy document	Correct document delivered	Market-conduct risk after 14 days	Insurer and broker policy team
Endorsement effective date	Client requests change	Insurer confirms exact change	Wrong cover during the gap	Account executive/policy admin
Claim notification clock	Incident occurs or client knows	Valid notification recorded	Evidence weakens or policy deadline may be missed	Client and claims officer
Claim settlement clock	Complete relevant claim documents reported	Liability, amount, claimant and payment resolved	Legal and complaint exposure; Section 203 refers to 90 days	Insurer; broker follows up
Tender deadline	Tender published	Complete submission delivered	Entire opportunity lost	Sales/tender team
Monthly commission statement	Accounting period closes	Statement reconciled	Errors age and become harder to recover	Broker finance
Licence renewal/compliance calendar	Regulatory period	Complete filing and payment	Brokerage cannot lawfully continue or faces sanction	Principal officer/compliance
WHT certificate and tax filing	Commission paid/deducted	Certificate and tax records match	Tax credit or compliance problem	Finance

Sources for the 30-day commission, 14-day policy document, and 90-day claims references are [S3], [S5], and [S15]. Exceptions and exact starting points must be checked against the current policy and law.

SECTION 16

16. Quantified Economics

16.1 Market facts

Measure	Finding	Evidence label
Kenya insurance gross written premium, 2025	KSh 464.72 billion	Observed fact - IRA Q4 2025 [S2]
Kenya insurance gross premium, 2024	About KSh 395.3 billion in Q4 industry reporting	Observed fact - IRA/Cytonn summary [S1] [S11]
General insurance share, 2024	About 51.6% of industry premium	Observed fact - 2024 industry results [S11]
Motor and medical share of general insurance, 2024	About 64.8%	Observed fact - 2024 industry results [S11]
Insurance penetration, 2024	About 2.44% of GDP	Observed fact - AKI survey [S13]
Licensed brokers, end of 2023	220	Observed fact - cited industry summary [S11]
Licensed brokers on 2025 published list	List runs to 191 brokers	Observed fact from IRA licensed list [S14]
Broker channel share, 2020	37.7% of industry premium	Observed fact - IMF paper using Kenyan data [S17]
Broker channel share, 2023	About 30.3% reported in public industry discussion	Secondary evidence; validate against IRA source [S18]
Commission payment deadline	Within 30 days after insurer receives premium	Observed fact - Insurance Act [S3]
Resident broker WHT on insurance commission	5%	Observed fact - KRA [S8]
Minimum paid-up capital	KSh 1 million	Observed fact - IRA licensing [S7]
Bank guarantee/government bond	KSh 3 million	Observed fact - IRA licensing [S7]

Measure	Finding	Evidence label
Minimum professional indemnity limit	KSh 10 million	Observed fact - IRA licensing [S7]

The 2024 totals differ slightly across publications because some use gross written premium, gross premium income, direct business, or different reporting cutoffs. This report does not force unlike measures into one number.

16.2 Strong inference about broker revenue pool

If brokers placed roughly 30%-38% of a KSh 361-395 billion market during the 2020-2024 period, the premium passing through the broker channel could be roughly KSh 108-150 billion a year.

This is **not brokerage revenue**. Broker revenue is only the commission or fee on that premium. A blended commission rate cannot be safely assumed because the mix of motor, medical, fire, marine, life and other classes changes the result.

16.3 Illustrative policy economics

Policy example	Premium	Example maximum commission	Gross commission	Net cash after 5% WHT	Status
Motor policy	KSh 1,000,000	10%	KSh 100,000	KSh 95,000	Illustration using published limit
Medical policy	KSh 5,000,000	10%	KSh 500,000	KSh 475,000	Illustration; service cost may be high
Marine policy	KSh 2,000,000	17.5%	KSh 350,000	KSh 332,500	Illustration; actual structure may differ

The missing number is the full cost to win and serve each policy. Most brokerages need to measure staff time and direct costs by client-policy-year before they can know true profitability.

16.4 Numbers that remain hypotheses

- average conversion rate from qualified opportunity to paid policy;
- average staff hours per quote, placement, endorsement, claim and renewal;
- average days from premium receipt to commission cash;

- percentage of commission statements with differences;
- client retention by policy class and account manager;
- average contribution margin by client-policy-year;
- share of service effort caused by missing or conflicting information.

SECTION 17

17. Management Control Loop

What management usually tries to know

Daily

- Which covers expire very soon?
- Which client decisions or premiums are still missing?
- Which claims or servicing requests are blocked?
- Which insurer responses are late?

Weekly

- Which renewals may be lost?
- Which opportunities are likely to convert?
- Which employees are overloaded?
- Which policy documents and endorsements are overdue?
- Which commissions should already have been paid?

Monthly

- Premium placed by class, insurer, client and employee;
- commission expected, stated, received and disputed;
- new business and renewal retention;
- outstanding service and claims work;

- expenses, cash and profit.

Too late or only after a problem

- a policy schedule was wrong;
- a verbal instruction cannot be proven;
- an account consumed more service cost than commission;
- commission was underpaid for several months;
- a client was already moving to another broker;
- a claim delay damaged the relationship;
- a compliance document was never stored.

Current control loop

Event happens → **Someone receives email or call** → **Person updates own notes or spreadsheet** → **Manager asks for status**

Team reconstructs story → **Decision is made** → **Follow-up happens**

The biggest delay is often between the real event and management knowing its economic meaning.

Example:

```
Insurer receives client premium
-> finance email confirms receipt
-> insurer month-end statement is issued
-> broker finance downloads statement
-> policy references are matched manually
-> missing commission is noticed
-> insurer is asked to correct it
```

By the time the problem is visible, the legal 30-day period may already have passed.

18. Irreducible Economic State Machine

After removing administrative detail, the brokerage reduces to eight economic states:

State	The simplest meaning	Money position	Main question
1. Possible business	A client may buy	No revenue right	Is this worth pursuing?
2. Broker committed	Broker accepts the work	Cost begins	Do we understand the need?
3. Market-ready risk	Facts and evidence are good enough	More cost, possible sale	Can insurers price it correctly?
4. Decision-ready options	Usable terms exist	Expected commission is visible	What should the client choose?
5. Placed cover	Client chooses, premium condition is met, cover is confirmed	Commission becomes due	Is cover exactly what was agreed?
6. Active service	Broker supports the policy	Service cost changes margin	Is the relationship still profitable and safe?
7. Cash and renewal	Commission is collected and next period is decided	Cash realised; future value won or lost	Did we collect and retain the client?
8. Economic closure	Money, evidence and open issues reconcile	Final contribution known	Is anything still exposed?

Possible business → **Broker committed** → **Market-ready risk** → **Decision-ready options**

Placed cover → **Active service** → **Cash and renewal** → **Economic closure**

The entire business can be understood by asking eight questions:

1. What client-policy-year is this?
2. What has the broker promised?
3. What information and evidence are still missing?
4. What has the insurer offered?
5. What did the client choose and pay for?
6. Is the cover and policy evidence correct?

7. Has commission been collected, and how much service cost has accumulated?
8. Will the policy renew, leave, or close with unresolved exposure?

SECTION 19

19. Ten Scenario Stress Tests

Scenario 1 - Normal successful motor renewal

The broker starts 45 days before expiry. The client sends the vehicle list and claims history. Three insurers quote. The client chooses one. Premium reaches the insurer before inception. Cover is confirmed, the schedule is checked, and commission arrives within 30 days.

Path: S2 -> S3 -> S4 -> S5 -> S6 -> S7 -> S8 -> S9 -> S10 -> S11 -> S12.

Result: Commission cash arrives, service begins, and the next renewal remains possible.

Scenario 2 - Highly profitable retained corporate account

The client has six policies and renews for the fourth year. Current data is clean, the insurer relationship is stable, claims are low, and few corrections are required.

Economic effect: Acquisition cost is already recovered. Commission repeats while placement effort falls. The relationship contribution improves.

Scenario 3 - Quote work is lost

The team spends many hours preparing a tender. The client uses the comparison to negotiate with another broker and does not appoint the brokerage.

Path: S0 -> S1 -> S2 -> S3 -> S4 -> S5 -> lost.

Economic effect: All staff cost is sunk. No premium or commission follows.

Scenario 4 - Client pays late

The client selects terms but premium does not reach the insurer before intended inception. The client assumes cover has started.

Path: S6 -> S7 payment failure.

Economic effect: No safe assumption of risk, no commission due, and serious complaint exposure if a loss occurs.

Scenario 5 - Wrong vehicle value

The client's spreadsheet shows KSh 3.8 million while the old schedule shows KSh 4.2 million. The difference is not resolved before placement.

Path: S3 information conflict -> rushed S4-S8 -> correction or claim dispute.

Economic effect: Rework, additional or return premium, trust loss, and possible professional liability.

Scenario 6 - Fire policy document is late

Cover is confirmed, but the insurer does not issue the final schedule for three weeks. The broker repeatedly follows up.

Path: S8 -> S9 delay.

Economic effect: Placement revenue exists, but policy administration cost rises and the 14-day conduct clock is missed.

Scenario 7 - Difficult medical account

The commission is large, but the broker handles hundreds of member changes, pre-authorisations, complaints and claims questions.

Path: S10 active service loops repeatedly.

Economic effect: Gross revenue looks good while contribution margin may become poor. Operator time data is needed to prove it.

Scenario 8 - Commission underpayment

The insurer receives premium, but its statement uses the wrong class or rate. The broker does not notice for four months.

Path: S11 -> commission dispute -> reconciliation.

Economic effect: Cash is delayed; some income may be lost if evidence is weak or the item is never followed up.

Scenario 9 - Claim delay damages renewal

A client's claim is covered, but the police abstract and assessor report move slowly. The client blames the broker and moves the next renewal.

Path: S10 -> claim loop -> S12 lost renewal.

Economic effect: The claim does not directly reduce insurer-risk for the broker, but service cost rises and future commission disappears.

Scenario 10 - Urgent Time on Risk request

The client needs short-period motor cover immediately. Exact start and end dates, vehicle details, purpose and payment are required. One detail is missing.

Path: S10 endorsement/TOR exception -> information hold -> insurer confirmation -> active service.

Economic effect: Fast action protects the relationship, but an unchecked date or vehicle error creates high exposure.

The model can represent all ten cases without creating a separate business model for each one. That supports the choice of client-policy-year as the primary unit.

SECTION 20

20. Unknowns Requiring Operator Validation

These questions should be answered by interviews and real brokerage data before the model is treated as complete.

Sales and conversion

1. How many leads become qualified opportunities?
2. How many qualified opportunities reach paid, confirmed cover?
3. How many staff hours are spent on a lost quote?
4. Which client types are usually rejected as unprofitable?

Service cost

5. How many endorsements, certificates, calls and emails does each policy class create?
6. How many hours does one claim consume?
7. Which insurers create the most correction and follow-up work?
8. Which clients consume more service cost than commission?

Money

9. What is the real average time from insurer premium receipt to broker commission cash?
10. What percentage of expected commission is missing or different on first statement?
11. How much commission is older than 30, 60 and 90 days?
12. How often are WHT certificates missing or wrong?
13. How often do cancellations create commission clawbacks?

Renewal and retention

14. What percentage of policies renew with the brokerage?
15. When does renewal work actually start by class?
16. What are the top five reasons clients leave?
17. How much expected commission sits in renewals with no client response or insurer terms?

Risk and evidence

18. How often do client lists disagree with policy schedules?
19. How many policy documents arrive later than 14 days?
20. How many active policies lack clear written client instruction?
21. Which compliance failures have caused complaints, penalties or professional indemnity notifications?

Brokerage structure

22. Do Kenyan brokers commonly charge separate client fees, and for which services?
23. How are commissions shared with agents, introducers or account executives?
24. How much capital is tied up in guarantees, deposits and receivables?
25. How different are economics between corporate, SME, retail, medical, life and specialist brokers?

SECTION 21

21. Final Economic State Machine Diagram

CLIENT RISK OR EXPIRY → BROKER ACCEPTS WORK → FACTS AND EVIDENCE READY → INSURERS RESPOND

CLIENT CHOOSES → PREMIUM REACHES INSURER → COVER IS PROVED → POLICY IS SERVICED

COMMISSION IS COLLECTED → RENEW OR EXIT → ECONOMIC CLOSURE

The most important exception loops

```
Missing or conflicting facts
-> return to client
-> correct risk information

No usable insurer terms
-> improve submission or change market
-> new terms

Premium missing
-> cover cannot safely proceed
-> confirm payment or change inception

Wrong or late policy evidence
-> insurer correction
-> verified schedule and delivery

Claim, endorsement, certificate or complaint
-> more service cost
-> resolved active-policy state

Commission missing or wrong
-> match premium, policy, rate, tax and bank
-> collect or dispute

Renewal delayed or lost
-> future commission disappears
-> win-back, replacement client, or closure
```

The economic truth in one sentence

A Kenyan insurance broker turns client trust, risk information, insurer access and staff work into placed cover; that cover becomes profitable only when commission is collected, service cost stays controlled, evidence is correct, and the client renews.

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Research conclusion

This state machine is strong enough to explain how Kenyan brokerage work turns into commission and cash, where staff cost builds, and where value gets trapped. The next step should be operator validation with several Kenyan brokerages before any later intent, skill, workflow, or product-design exercise.